SONARWA General
Insurance Company Limited

STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2023

(in thousand of Frw)	2023	2022
ASSETS		
Property and equipment	593,985	572,227
Right of use asset	162,917	156,045
Investment property	10,886,898	9,213,651
Financial assets at:		
- Amortized cost	-	-
- Fair value through other comprehensive income	3,406,137	3,163,304
- Fair value through profit or loss	1,029,915	840,690
Insurance contract assets	-	-
Reinsurance contract assets	1,142,016	1,664,244
Current tax asset	(195,087)	114,235
Other receivables and prepayments	2,136,485	2,105,382
Cash and cash equivalents	6,807,494	4,551,727
Total Assets	**25,970,759**	**22,381,504**
LIABILITIES		
Insurance contract liabilities	10,295,363	7,144,890
Reinsurance Contract Liabilities	693,560	176,725
Deferred income tax liability	2,192,103	1,661,635
Other payables	1,153,213	1,052,655
Lease Liability	137,102	138,953
Total Liabilities	**14,471,340**	**10,174,859**
EQUITY		
Ordinary share capital	5,200,000	5,200,000
Share premium	47,240	47,240
Revaluation reserve	2,382,170	2,382,170
Fair value reserve	2,039,978	1,868,543
Unallotted shares	2,119,434	2,119,434
Insurance reserve	376,340	376,340
Retained earnings	(665,742)	212,918
Total Equity	**11,499,420**	**12,206,645**
Total Equity & Liabilities	**25,970,760**	**22,381,504**

These audited financial statements were approved by the Chief Executive Officer and attested by the Chairperson of the Board of Directors.

A.g Chief Executive Officer **Board Director**

These financial statements can also be found on the website: **www.sonarwa.co.rw**

STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31ST DECEMBER 2023

(in thousands of Frw)	2023	2022
Insurance revenue from contracts measured under the PAA	7,876,079	6,026,039
Insurance service expenses	(6,557,032)	(3,838,126)
Net expenses from reinsurance contracts held	(1,463,030)	(1,076,328)
Insurance service result	**(143,983)**	**1,111,586**
Investment income	2,596,583	2,141,402
Changes in fair value of financial assets	189,224	15,211
Impairment of receivables and other assets	(94,466)	(7,751)
Net investment income	**2,691,341**	**2,148,862**
Finance income/(expenses) from reinsurance contracts held	99,792	63,087
Finance income/(expenses) from insurance contracts issued	(871,689)	(291,050)
Net insurance finance expenses	**(771,897)**	**(227,964)**
Net insurance and investment result	**1,775,461**	**3,032,484**
Net other income	419,039	231,003
Operating expenses	(2,254,037)	(2,016,182)
Finance costs	(30,864)	(33,279)
Loss before income tax	(90,400)	1,214,026
Income tax	(788,259)	(561,857)
Loss/profit for the year	**(878,659)**	**652,169**
Other comprehensive income		
Items that will not be subsequently reclassified to profit or loss:		
Gross change in fair value through other comprehensive income financial assets	242,834	-
Gross change in revaluations on property and equipment	-	-
Deferred tax on items that will not be reclassified subsequently	(71,400)	-
Total other comprehensive income	**(635,825)**	**652,169**

Live stock Insurance



STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31ST DECEMBER 2023

	Share capital	Share premium	Unlotted Shares	Revaluation reserve	Fair value reserve	Insurance finance reserve	Retained earnings	Total
	Rwf '000	Rwf '000	Rwf '000	Rwf '000	Rwf '000	Rwf '000	Rwf '000	Rwf '000
At 1st January 2023	5,200,000	47,240	2,119,434	2,382,170	1,868,543	376,340	212,918	12,206,645
Transactions with shareholders								
Unlotted shares	-	-	-	-	-	-	-	-
Comprehensive income								
Profit for the year	-	-	-	-	-	-	878,659	878,659
Prior year adjustments on deferred tax	-	-	-	-	-	-	-	-
Fair value gain on FVOCI financial assets	-	-	-	-	242,834	-	-	242,834
Deferred ax on FVOCI financial assets	-	-	-	-	71,400	-	-	71,400
Total comprehensive profit	-	-	-	-	171,434	-	(878,659)	707,225
At 31st December 2023	**5,200,000**	**47,240**	**2,119,434**	**2,382,170**	**2,039,977**	**376,340**	**(665,741)**	**11,499,420**
At 1st January 2022	5,200,000	47,240	0	2,382,170	1,868,543	376,340	(439,251)	9,435,042
transactions with shareholders								
unlotted shares	-	-	**2,119,434**	-	-	-	-	**2,119,434**
comprehensive income								
Profit for the year	-	-	-	-	-	-	652,169	652,169
Revaluation loss on sale of PPE	-	-	-	-	-	-	-	-
equipment	-	-	-	-	-	-	-	-
Related Deffered tax	-	-	-	-	-	-	-	-
Fair value gain on FVOCI financial assets	-	-	-	-	-	-	-	-
Deferred tax on FVOCI financial assets	-	-	-			-	-	
Total Comprehensive profit	-	-	-	-	-	-	652,169	652,169
At 31st December 2022	**5,200,000**	**47,240**	**2,119,434**	**2,382,170**	**1,868,543**	**376,340**	**212,918**	**12,206,645**

Quantitative Disclosures

	Dec 2023 Frw'000	Dec 2022 Frw'000
A. Solvency coverage		
a. Solvency required	940,328	696,460
b. Admitted Assets	20,523,581	17,081,665
c. Admitted Liabilities	20,140,686	13,280,077
d. Solvency available	382,895	3,801,589
e. Solvency surplus(gap)	382,895	3,105,128
f. Solvency coverage ratio	311%	546%
B. Capital strength		
a. TAC(Total Available Capital)	8,854,074,685	7,380,849
b. RCR(Risk Based Capital Required)	16,499,493,264	15,178,451
b. CAR(Capital Adequacy Ratio)	54%	49%
C. Earnings Risk		
a. Claims ratio	72%	68%
b. Management Expense Ratio	39%	65%
c. Underwriting Expense Ratio	3%	4%
d. Combined Ratio(General Insurance Only)	114%	137%
D. Investment Exposure		
a. Investment Exposure(s)	East Garden Kicukiro FRW 7,189,109,000	5,513,398
b. Earning assets ratio	52%	69%
c. Investment property ratio	35%	39%
d. Equities assets ratio	14%	17%
E. Liquidity Risk		
a. Liquidity Ratio(LCR)	57%	74%
F. Exposures to related parties		
a. Loans to Directors and Senior management		
b. Loans to Employees/staff		
c. Loans to Subsidiaries and affiliates		
d. Loans to shareholders/holding company		
e. Investments in related parties		
G. Operational Risk		
a. Number and types of frauds and their corresponding amount		
H. Business Composition		
a. Number of policy holders per branch	39,789	27,109
b. Number of policies in force per branch	48,398	30,243
I. Management and Board Composition		
a. Number of Board members(Independent and non-independent)	5	5
b. Number of Board Committees	4	4
c. Number of senior management staff by gender	2 Males And 6 Females	2 Males And 6 Females
J. Staff		
a. Total Number of non-managerial Staff by gender	34Males and 24 Females	22Males and 14 Females
K. Insurance Intermediaries		
a. Number of insurance agents	63	50
b. Number of loss adjusters/assessors	5	8
L. Branches		
a. Number of Branches by Province including Kigali City	19	19

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 31ST DECEMBER 2023

	2023 Frw' 000	2022 Frw' 000
Operating activities		
Profit before tax	(90,400)	1,214,026
Adjustments for:		
Depreciation of property and equipment	50,278	42,302
Depreciation of right of use asset	83,990	133,627
Interest on ease liability	36,375	33,475
Rental income	(621,825)	(588,828)
Interest on treasury bills	-	(14,184)
Fair value gains investment property	(1,573,921)	(1,207,020)
Dividends	(104,907)	(94,944)
Loss on leases remeasurement	(41,487)	(7,488)
Fair value gains on financial assets	(189,224)	(15,211)
Write-back on reinsurance provision	(213,836)	-
Changes in working capital:		
Reinsurance contract assets	522,228	(253,345)
Other receivables and prepayments	(31,103)	(322,926)
Insurance contract liabilities	3,150,473	(528,198)
Reinsurance Contract Liabilities	516,835	176,725
Other payables	100,557	35,554
Tax	276,944	(270,512)
Cash used operating activities	1,870,975	(1,638,656)
Investing activities		
Purchase of property and equipment	(72,039)	(35,900)
Proceeds from disposal of property and equipment	-	-
Purchase of investment property	(99,326)	(72,040)
Proceeds from sale of investment property	-	-
Receipts upon treasury bonds maturities	-	530,938
Rental income received from investment properties	621,825	588,828
Dividends received	104,907	94,944
Cash from investing activities	555,367	1,106,770
Financing activities		
Lease payments	(170,575)	(144,551)
Receipts of Unallotted shares	-	2,119,434
Cash from/(used) in financing activities	(170,575)	1,974,883
Increase in cash and cash equivalents	2,255,767	1,442,997
Cash and cash equivalents at start of the year	4,551,727	3,108,730
Cash and cash equivalents at end of the year	**6,807,494**	**4,551,727**

Key highlights of the financial year

The 2022 Financial statements has been restated to reflect the adoption of the IFRS 17 standard

1. **Sonarwa General insurance Ltd's grew GWP by 42 % compared to december 2022**
2. **The total Assets increased by 16% in 2023 campared to 2022 from 22,3 billion to 25,9 billion in 2023.**
3. **Sonarwa General's Solvency remain solid at 311%**